



TO: Clearing Member Firms; Back Office Managers

FROM: CME Clearing

SUBJECT: **OTC Holiday Advisory – Christmas and New Year’s Day**

Updated Dec 20, 2016

CME Clearing will be open for clearing of all cleared OTC financial products on Christmas Day (observed on Monday, December 26) and New Year’s Day (observed on Monday, January 2).

Please note that for all currencies, except Japanese Yen & Mexican Peso, CME Clearing will follow normal holiday processing procedures. This means that trades will still clear real time, but will clear for the next clearing business day. For trades denominated in Japanese Yen & Mexican Peso, CME Clearing will report and clear all Yen & MXN denominated trades as per normal procedure.

On Monday, January 2, CME Clearing will be open and run a normal clearing cycle.

For specific information on how this will impact CME Clearing’s processing and trade submission timelines, please refer to the information below.

Trade Submission, Variation Margin Settlement, and Price Alignment Interest:

Christmas Holiday						
Currencies		Bank Holiday	For trades submitted on Bank Holiday		PAI	
			Clear Date	Upfront Fee Settlement Date	Close Of Business Date	Days
T+1 Currencies	CAD, GBP	Monday, 12/26 & Tuesday, 12/27	Wednesday, 12/28	Thursday, 12/29	Friday, 12/23	5
	BRL, EUR, USD	Monday, 12/26	Tuesday, 12/27	Wednesday, 12/28	Friday, 12/23	4
T+2 Currencies	AUD, NZD, ZAR	Monday, 12/26 & Tuesday, 12/27	Wednesday, 12/28	Friday, 12/30	Friday, 12/23	5
	JPY	Friday, 12/23	Monday, 12/26	Wednesday, 12/28	Thursday, 12/22	4
	CHF, HKD, PLN, SGD CZK, DKK, HUF, NOK, SEK	Monday, 12/26	Tuesday, 12/27	Thursday, 12/29	Friday, 12/23	4

New Year's Holiday						
Currencies		Bank Holiday	For trades submitted on Bank Holiday		PAI	
			Clear Date	Upfront Fee Settlement Date	Close Of Business Date	Days
T+1 Currencies	BRL, CAD, GBP, USD	Monday, 1/2	Tuesday 1/3	Wednesday, 1/4	Friday, 12/30	4
T+2 Currencies	AUD, CHF, HKD, SGD, ZAR	Monday, 1/2	Tuesday 1/3	Wednesday, 1/4	Friday, 12/30	4
	NZD	Monday, 1/2 Tuesday 1/3	Wednesday, 1/4	Friday, 1/6	Friday, 12/30	5
	JPY	Monday, 1/2	Tuesday, 1/3	Thursday, 1/5	Friday, 12/30	3

*Note that SEK, EUR, MXN, NOK, CZK, HUF, PLN and DKK do not have any defined holidays around the New Year's holiday. MXN does not have any defined holidays around the Christmas holiday.

For example, for CAD and GBP swaps submitted for clearing on Monday, December 26, 2016, will clear on December 26, 2016 but the cleared date will be Wednesday, December 28, 2016. This means that the variation margin and upfront fees for these trades will settle on Thursday, December 29, 2016.

Swaps submitted for clearing on Monday, January 2, 2017 will clear on January 2, 2017, but the cleared date will be the next valid business day in that currency.

OTC FX holiday information will be sourced from COPP CLARK.

****Special Case for JPY settlement on Monday, December 28****

As the settlement banks are closed on the Monday after Christmas day, the value date for all JPY-denominated variation amounts in the end-of-day clearing cycle on Friday, December 23, will be Wednesday, December 28 (to allow banks in the US and Europe to confirm settlements on Tuesday, December 27). This means that any cash flow, including upfront fees scheduled to settle on Tuesday, December 27 will instead settle on Wednesday, December 28th. We will also be making similar amendments to MXN payments (please see table below).

Payment Calculation Date	Currency	Adjusted Settlement Date
Friday, December 23 rd	JPY	Wednesday, December 28 th
Friday, December 23 rd	MXN	Tuesday, December 27 th

Initial Margin Calculations:

Close of Business Date	Product	Currencies	Will CME generate new IM requirements
Monday, December 26, 2016	IRS	All Currency Pairs	Yes
	CDS	USD-CDX EUR-iTraxx	No No
	OTC FX	All Currency Pairs	No

Close of Business Date	Product	Currencies	Will CME generate new IM requirements
Monday, January 2, 2017	IRS	All Currency Pairs	Yes
	CDS	USD-CDX EUR-iTraxx	No No
	OTC FX	All Currency Pairs	No

EOD Reporting:

Date	Asset Class	Environment	EOD Reports Produced
Monday, December 26, 2016	CDS	Production	Yes
	CDS	New Release	Yes
	IRS	Production	Yes
	IRS	New Release	Yes
	OTC FX	Production	Yes
	OTC FX	New Release	Yes
Monday, January 2, 2017	CDS	Production	Yes
	CDS	New Release	Yes
	IRS	Production	Yes
	IRS	New Release	Yes
	OTC FX	Production	Yes
	OTC FX	New Release	Yes

CDX & iTraxx Price Submission:

CDX & iTraxx Price Submission Schedule			
Date		Early Close	Price Submission required
Friday, December 23, 2016	USD-CDX	Yes	Yes
	EUR-iTraxx	No	Yes
Monday, December 26, 2016	USD-CDX	No	No
	EUR-iTraxx	No	No
Tuesday, December 27, 2016	USD-CDX	No	Yes
	EUR-iTraxx	No	No
Friday, December 30, 2016	USD-CDX	Yes	Yes
	EUR-iTraxx	No	Yes
Monday, January 2, 2017	USD-CDX	No	No
	EUR-iTraxx	No	No

On Friday, December 23 and Friday, December 30 CME Clearing will be following the schedule outlined below –

- **Publication of early CDS settlement price file:** 12:45 p.m. ET (11:45 a.m. CT)
- **Publication of Preliminary Dealer Feedback Files:** 2:05pm ET (1:05pm CT)
- **Dealer Price Submission Deadline:** 2:35 p.m. ET (1:35 p.m. CT)
- **Publication of Final PQA Dealer Feedback Files:** 2:45 p.m. ET (1:45 p.m. CT)

If you have questions, please contact the CME Client Services Team at onboarding_clearing@cmegroup.com.